

til 2017, no AFDD, but start 2018, create AFDD.

QUESTION 7

On 31 December 2017, Perniagaan Aziz had accounts receivable total RM10,000. Businesses do not create a allowance for doubtful debts on accounts receivable balances. After receiving advice, the business agreed to allocate 5% of estimated uncollectible debts. The information below is relevant to operations for the year ended 31 December:

Pada 31 Disember ²⁰¹⁷ ~~2019~~, Perniagaan Aziz mempunyai baki akaun belum terima sebanyak RM10,000. Perniagaan tidak pernah mewujudkan elaun hutang ragu atas baki jumlah akaun belum terima. Namun, setelah mendapat nasihat, perniagaan bersetuju memperuntukkan 5% sebagai anggaran jumlah hutang yang tidak boleh dikutip, bermula dengan baki akhir tahun 2019. Maklumat di bawah adalah berkaitan dengan operasi bagi tahun berakhir 31 Disember:

	2018 (RM)	2019 (RM)
Credit sales Jualan kredit	220,000	230,000
Cash received from account receivables Tunai diterima daripada akaun belum terima	215,000	236,000
Bad debt write-off <i>→ So, this one become AFDD</i> Hutang lapuk dihapus kira	4,000	2,100
Bad debts recovery Hutang lapuk pulih	-	500

INSTRUCTIONS:

Show an account ^{AFDD} allowance for doubtful debts and account [?] bad debt expense ended 31 December ⁽ⁱ⁾ 2018 and 31 December ⁽ⁱⁱ⁾ 2019.

Sediakan akaun elaun hutang ragu dan akaun belanja hutang lapuk bagi tahun berakhir 31 Disember 2018 dan 31 Disember 2019. (CLO3, C3)

2018 : Dr A/R 220,000
 Cr Sales 220,000
 Dr Cash 215,000
 Cr A/R 215,000
 Dr AFDD 4,000
 Cr A/R 4,000

2019 : Dr A/R 230,000
 Cr Sales 230,000
 Dr Cash 236,000
 Cr A/R 236,000
 Dr AFDD 2,100
 Cr A/R 2,100

B/D Recovery :
 Dr A/R 500
 Cr B/D Recovery 500
 Dr Cash 500
 Cr A/R 500

QUESTION 7

Step 2:

Allowance for Doubtful Debt			
2018	RM	2018	RM
Accounts receivable	4,000	Bal. b/f	500
Bal. c/f	550	Bad debts expense	4,050
	4,550		4,550

5% x RM10,000
 Bal A/R 2017

2019	RM	2019	RM
Accounts receivable	2,100	Bal. b/f	550
Bal. c/f (5% x 2,900)	145	Bad debt expense	1,695
	2,245		2,245

Step 3:

Bad Debt Expense			
2018	RM	2018	RM
All. for doubtful debt	4,050	Statement Profit or Loss	4,050
	4,050		4,050
2019	RM	2019	RM
All. for doubtful debt	1,695	Statement Profit or Loss	1,695
	1,695		1,695

Step 1:

Account Receivable

2018		2018	
1/1 Balance b/d	10,000	31/12 Cash	215,000
31/12 Sales	220,000	AFDD	4,000
		Bal c/d	11,000
	230,000		230,000
2019		2019	
1/1 Bal b/d	11,000	31/12 Cash	236,000
31/12 Sales	230,000	AFDD	2,100
B/D Exp Recovery	500	Cash	500
	241,500	Bal c/d	2,900
			241,500

Notes:

AFDD (31/12/2017) = 5% x 10,000 = 500

AFDD (31/12/2018) = 5% x 11,000 = 550

AFDD (31/12/2019) = 5% x 2,900 = 145

We need to do A/R first before AFDD & B/D Exp.